

Proposal

SWISSLOG MALAYSIA SDN. BHD.
B-13-01, Menara AmFirst 2
Jalan SS7/15 {Jalan Stadium}
Kelana Jaya 47301 Petaling Jaya,
Selangor Darul Ehsan
Malaysia

2nd April 2025

FURSYS INC.

Proposal No.

P-002905

138-857 / 311 Ogeum-ro, Songpa-gu,
Seoul, Fursys Building

Version:

1.0

Warehouse Concept Study for new Yong-in Automation Logistics Center.

Swisslog is hereby submitting a Concept Design study proposal for **Fursys Inc.** for their new Yong-in warehouse distribution centre.

Objective

Swisslog has, over the last few months, have studied initial data and proposed for Fursys new warehouse. Moving forward we will continue a concept design study for the new Yong-in warehouse.

The concept study work will include a monthly meeting (once per month) in April, May, June, July and August to review Fursys's present situation, information & data gathering, analysis, develop the solution design and warehouse processes associated with delivering the Proposal for warehouse distribution center.

Background

Since its inception in 1983, FURSYS has been on the road of furniture manufacturing for more than 30 years, with a steadfast step towards the faithful preservation of the fundamentals. Today, FURSYS has grown to become a representative furniture company of Korea, as a result of its efforts to build on its philosophy of "building an honest and good company".

Swisslog Overview

- Swisslog's history dates back to Sprecher & Schuh AG, founded in 1898 in Aarau, Switzerland. Since then, Swisslog has evolved from its former status as a supplier of automation systems to a competent partner in consulting services and the implementation of integrated logistics solutions. The comprehensive portfolio ranges from building complex warehouses and distribution centers including Swisslog's software, in-house logistics solutions for hospitals and pharmacies as well as consulting services in the field of supply chain management. Based on its detailed logistics know-how and broad project experience, Swisslog is focusing on the industry segments Retail, food and beverage, pharmaceutical and healthcare.
- Swisslog is since many years back well established in Malaysia serving customers all over Asia. The responsibility of the project will follow through the Malaysia office. The participants of the dedicated project team, lead by a long term experienced project manager.
- Swisslog delivers leading industry-specific solutions for automated and manual warehouses and distribution center's. Providing consulting services, software solutions, general contracting, implementation and lifetime support, Swisslog is dedicated to its customers - focusing on logistics efficiency, cost and continuous improvement.
- Swisslog offers its customers comprehensive solutions from a single source:
 - Global knowledge for industry-specific solutions and best practice.
 - Tested technologies and proven software competence in integrating the flow of materials and information.
 - Top quality automated mechanical handling equipment.
 - Intensive support for its customers through consultancy and service during the entire life of their logistics systems.

Scope of the Concept Study

➤ As Is definition

- Support to the **input data gathering process** (an input data specification will be sent to Customer Name after the order of the Concept study)
- Rough description of **external flows**, to and from the CDC
- Mapping of **internal flows** (in the existing CDC)
- **Data analysis**

- Flow analysis
- Order structure
- Peak- and assortment factors
- Rough **process mapping**
- Documentation of other present assumptions relevant for the design of the future CDC

➤ **To Be definition**

- Support in the definition of **design base data** for the design of the future CDC. The definition of the To Be requirements has to a large extent to be defined by Customer Name and to be properly anchored among the internal decision makers and stakeholders.
 - Design year
 - Growth factors (from As Is to To Be)
 - Peak and conversion factors (based on the As Is definition)
 - Incoming and outgoing load carriers (TU / LU)
 - Order cycle
 - Arrival and departure schedules
 - Other customer requirements
 - Flexibility requirements (due to future uncertainties about the To Be definition)
 - Financial assumptions (depreciation periods, WACC, salary costs, building costs, leasing vs. investing etc)
 - Development of sensitivity analysis scenarios

➤ **Concept design**

- To, based on the To Be definition, propose and design three (3) possible material handling (MH) concepts for the operations of the future CDC
 - Base case (similar to the operations of today but extended to To Be)
 - Semi automated
 - Fully automated (to a reasonable level)
- Principal layouts (using Visio or Powerpoint)
- Scope of delivery of MH delivery
- Definition of building scope (footprint, height and other rough requirements)
- Pick rate calculations
- FTE (Full Time Equivalent) calculations for the staffing of the future CDC

- Rough time schedule for realisation of concept including ramp-up
- Description of future extensions
- **WMS**
 - Functionality
 - Interface to ERP
- **Business case** – Financial and technical evaluation of designed concepts (according to above)
 - **Investment**
 - Building
 - Racking
 - MH equipment including local controls
 - Forklift trucks
 - Software (WMS) including peripheral equipment
 - **Yearly cost**

Based on customer provided labor rates

 - Salary cost
 - Capital cost (investment in building, racking, MH equipment, trucks and software)
 - Operations- and maintenance cost (building and equipment) including agreed depreciation periods for capital items, using agreed depreciation methods
 - KPI:s, e.g.:
 - Cost per orderline
 - Cost per order
 - Cost per pick
 - Net Present Value (per proposed concept vs. the base case)
 - Payback (per proposed concept vs. the base case)
 - **"Soft" benchmark** – Other soft factors, e.g. flexibility, ergonomics, risk, redundancy etc
- **Way forward**
 - Recommendations

Swisslog shall maintain ongoing communication with Fursys throughout the course of the project and ensure that Fursys's requirements are duly reflected in the project deliverables.

- Critical factors
- Proposal for next step (Detailed study)
- Preliminary time schedule for realisation

Project Deliverables : 1. _____ 2. _____ 3. _____

Please specify Project deliverables that should be submitted at the end of the Project

➤ **Reporting** and final presentation

- The work is continuously documented during and between workshops, mainly in MS Powerpoint. This material constitutes the main part of the final report that will be handed over to Customer Name after the completion of the study.

Preliminary disposition of the final report according to below:

1. Introduction
2. Executive summary
3. Financial results and recommendations
4. MH concept evaluation
5. Software concept description
6. Way forward (time schedule detailed planning and realisation + organisation)
7. Design base (To Be)
8. As Is description

If FURSIS requests any revisions to the final deliverables, Swisslog shall incorporate such revisions and submit the revised deliverables within fifteen (15) days of the request.

After the study is completed an in person final presentation will also be done. Fursys to propose forum for the final presentation

Procedure	Content	Duration
Workshop 1 (Fursys Office in Seoul) Kick off / Input data / Principal concepts	• Background, objective & expectations • Project scope • Project organisation and areas of responsibilities (Swisslog & Seoul) • Time schedule and dates for planned workshops • Input data requirements (preliminary input data specification has been sent to Fursys prior to the meeting) • Principal MH concepts (best practise) • Site visit at existing site – Material Flow	3 days
↓		
Working Session Swisslog & Fursys	• Input data gathering (Fursys to Swisslog - according to specification) • Input data specification update to Fursys • Data analysis for Current • Materials Flow -> Process Mapping: observations, interviews	Max. 3 week

Procedure	Content	Duration
	Base case definition	
↓		
Workshop 2 (Fursys office in Seoul) Verification input data / Design data / Concept selection	- Verification results of data analysis - Verification results of process mapping - Future requirements discussion - Base case presentation and sign-off (Design Parameter Report V1.0 Freeze) - Proposed concepts to include in evaluation - Software interface discussion	5 days
↓		
Working Session Swisslog & Fursys	- Data analysis revise and update - Preliminary design base data document - Concept Design (based on preliminary design base) - Principal layouts & Building Requirements - Pick rate and FTE estimation	Max. 3 weeks
↓		
Workshop 3 (Fursys Office in Seoul) Concepts / Design Base document sign-off	- Concepts Presentation - Design base documents verification & sign-off - Soft benchmark - Preliminary concept selection - Disposition final report	5 days
↓		
Working Session Swisslog & Fursys	- Concept Design update - Executive Summary - Recommendations - Way forward - Final Report Compilation	Max. 3 weeks
↓		
Workshop 4 (Fursys Office in Seoul) Final Presentation	- Concepts Presentation - Design base documents verification & sign-off - Soft benchmark - Preliminary concept selection - Disposition final report	5 days
↓		
Working Session Swisslog & Fursys	- Concept Design update - Executive Summary - Recommendations - Way forward - Final Report Compilation	Max. 3 weeks



Workshop 5 (Fursys Office in Seoul) Final Presentation	• Design base summary • Concept • Time schedule detailed planning + Realisation • Recommendations • Proposed way forward	2 days
--	--	--------

Time schedule

Preliminary time for start-up of the Concept study is **(week 18) April 2025**. Swisslog estimates the calendar time of completion to approximately **(week 34) August 2025**.

Swisslog wants to emphasize that the time for completion of the study can and will be influenced by the availability of the project team of Fursys. There might be a need for more meetings and workshops as is described below. Verification and final planning of dates for meetings and milestones will be done in the first jointly held workshop.

In the event that Swisslog fails to deliver the final deliverables by the specified deadline above, it shall pay Fursys liquidated damages in an amount equal to 0.1% of the contract price per day of delay. Fursys shall be entitled to deduct such equivalent damages from the remaining payment.

Services at Fixed Prices

The prices stated in this section include Swisslog's costs and expenses involved in providing the relevant services, including travel expenses for the stipulated workshops.

Each party shall bear and pay any and all taxes, duties, fees, or charges imposed by the applicable governmental authority in its respective jurisdiction arising out of or in connection with this Agreement, including but not limited to value-added tax (VAT), goods and services tax (GST), and withholding tax, unless otherwise required by applicable law. Neither party shall be responsible for the other party's tax obligations.

Price Summary

- Concept Design Study for Fursys ASRS USD 241,000.00

All prices excluding duties and taxes

Payment Conditions

On fixed price basis:

- 50% on confirmation of order;
 - 50% on submittal of final report or final presentation.
- Upon receipt of the 50% initial payment, Swisslog shall concurrently submit to Fursys a performance bond or advance payment guarantee equivalent to the amount of the initial payment.

All payments shall be made no later than 30 days after the date of invoice.

Validity Period of the Offer

This proposal is valid until 15th of April 2025.

Confidentiality

Swisslog undertakes to treat all received information from Fursys strictly confidential and not pass on any of that information to a third party without the approval of Fursys.

On behalf of
Swisslog Malaysia, 1st April 2025



Name: Sky Lee
Position: Director, Integrated Solution



Name: Steven Xie
Position: Managing Director, SEA

On behalf of
Fursys

Name:
Position:

Name:
Position: